

Invoice & Payment Terms Guide

Getting paid on time is a systems problem, not a luck problem. This guide gives you the invoice structure, the terms to set, and the escalation ladder for when payments slip.

The Invoice Itself

Every invoice should contain — in this order:

1. **“INVOICE”** in large text, plus invoice number (use a format like 2026-014; sequential numbers matter for your accounting)
2. **Your details:** name/business name, address, email, tax ID if applicable
3. **Client details:** the legal entity name from the contract — not just your contact’s first name
4. **Issue date and due date** — write the actual date (“Due: August 1, 2026”), not just “Net 14”; ambiguity delays payment
5. **Line items** referencing the contract (“Milestone 2 of 3 per agreement dated [date]”)
6. **Total, prominently displayed**, with tax broken out if applicable
7. **Payment instructions** — every method you accept, with full details. Every step the client must figure out adds days.
8. **Late terms restated:** “Payments after the due date accrue 1.5% monthly interest, per our agreement.”

Sample Invoice Layout

INVOICE #2026-014

Issued: July 18, 2026

Due: August 1, 2026

FROM: [Your Business Name] · [email] · [tax ID]

TO: [Client Legal Name] · [billing contact email]

DESCRIPTION	AMOUNT
Milestone 2 of 3 – [Project name] per agreement dated June 3, 2026	\$2,400.00
TOTAL DUE:	\$2,400.00

PAY BY:

- Bank transfer: [details]
- Card/online: [payment link]

Payments after Aug 1 accrue 1.5% monthly interest.

Thank you!

Terms That Protect You

Term	Recommendation	Why
Deposit	25–50%, before any work	Filters non-serious clients; funds your first weeks
Payment window	Net 7 or Net 14	Net 30 is a corporate convention that costs you a month of cash flow
Trigger	“On delivery,” never “on approval”	Approval-based triggers let silence delay payment indefinitely
Late fee	1.5%/month	Rarely collected — its job is deterrence, and it must be in the contract to be enforceable
Work pause	After 7 days overdue	Your strongest leverage; state it in the contract so it's policy, not personal
Currency & method	Fix both in the contract	Avoids surprise conversion fees and “we only pay by check”

The Escalation Ladder

When an invoice goes unpaid, escalate on a schedule — not when frustration boils over:

- **Day 1 overdue:** Friendly flag (Email Script #7). Most late payments are forgetfulness — this fixes 70% of cases.
- **Day 7:** Firm notice + work pause (Email Script #8). Pausing is the step freelancers skip, and it's the one that works.
- **Day 14:** Phone call. Ask directly: “Is there a problem with the invoice, or with cash flow?” A cash-flow answer gets a payment plan with dates in writing.
- **Day 30:** Formal demand letter: total owed with late fees, deadline (7 days), and stated next step (small-claims court or a collections agency — both are real options for freelancers, and small claims doesn't require a lawyer).
- **After that:** File in small claims (limits are typically \$5,000–\$12,500 depending on state/country) or hand it to collections (they take ~25–50% but require zero effort from you).

Habits That Prevent the Problem

1. **Invoice immediately.** Send the invoice the day the milestone completes. Every day between “work done” and “invoice sent” signals that payment isn't urgent.
 2. **Make paying frictionless.** A payment link (Stripe, Wise, PayPal) gets paid days faster than bank details in a PDF, even after fees it's usually worth it on invoices under ~\$2,000.
 3. **Front-load the money.** A 40/30/30 schedule means that by the time trouble could start, you've collected 70%.
 4. **Never deliver final files before final payment.** Watermarked previews, staging links, and read-only access exist for exactly this reason.
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